

Treasury still lacks political space to fulfill commitment to low rates

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US-Canada tariff delay points to phase one deal

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Michigan, Virginia will be defining races of 2028 Democratic primary

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This week in polling: Alaska still very plausible pickup opportunity for Democrats

Treasury still lacks political space to fulfill commitment to low rates. Treasury Secretary Scott Bessent's expansion of long-dated buybacks announced on 19 August fits the pattern set out in our note this week of measures that commit little money and rely on signaling, and are therefore unlikely to durably change market outcomes (see: [US lacks political space to follow through on commitment to low rates](#) , 18 August 2026).

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Treasury announced the doubling of the maximum size of long-end operations to at least \$4 billion, effective 9 September through 4 November. The 30-year yield fell ten basis points to as much as 5.17% and the 10-year fell seven basis points to 4.63% on the news, but both have retraced most of those moves today. The dollar has not followed yields back up, after dropping 0.6% yesterday—moves to contain a rise in bond yields would tend to put downward pressure on the currency.

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Bessent has been reaching for norm-breaking tools to bring down the borrowing rate that commit little money and rely on signaling. After unusual moves including the 31 July yen intervention, a public request to enlarge a Fed credit facility for foreign and international monetary authorities, and a refunding statement signaling issuance of fewer long-dated bonds in favor of shorter maturities, yesterday's announcement marks Treasury breaking from the "regular and predictable" debt management in place since 1982.

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Continued bond-market pressure and a possible Federal Reserve hike still risk renewed tensions between the Fed and the administration. Bessent clearly has the confidence of the White House for now, but his long political leash risks shortening each time an intervention falls short of his market goals.

Washington's reduction of exercises in South Korea opens door for Beijing. President Trump's recent reduction of US participation in joint exercises with South Korea took Seoul and other regional partners by surprise. The announcement's fallout coincided with Chinese Foreign Minister Wang Yi's visit to South Korea from 19-20 August.

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The move to reduce joint exercises is a product of President Trump's individual frustration with South Korea. Trump has long criticized the cost of US defense presence in South Korea, and more recently has expressed frustration with South Korea and other US allies for their perceived lack of engagement in Iran. (See "Reducing exercises with South Korea will not move the needle with North Korea" in Congress to address debt ceiling in lame duck or after , 18 August 2026).

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Reduced US participation in the Ulchi Freedom Shield exercise does not, on its own, reflect a broader shift in Washington's Indo-Pacific strategy. However, a pullback from next August's multilateral Talisman Sabre exercise will provide a more significant signpost indicating a US drawdown from activity with partners in the region.

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The US pullback offers a window of opportunity for FM Wang Yi to apply strategic leverage on South Korea during his visit. China has long framed Washington's policy toward North Korea as hostile and encouraged South Korean leaders to pursue neutrality in US-China competition. Readouts from Wang Yi's meetings in South Korea indicate he is actively leveraging concerns over Washington's trustworthiness in his outreach to South Korea.

US-Canada tariff delay points to phase one deal. Eurasia Group expected President Trump would extend the Section 338 deadline before it hit yesterday. The two sides are reportedly still negotiating the text of an agreement; if a deal is signed in the next two days it would substantively reset US-Canada relations, accelerating the USMCA review process and opening security and defense discussions.

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The outlines of a phase one deal are clear: Canada removes retaliatory measures—a move that Canadian Prime Minister Mark Carney has already requested from provincial leaders—and concedes dairy market access in exchange for the US withdrawing Section 338 threats and reducing Section 232 tariffs. On the US side, reductions in and/or a tariff-rate quota system for steel and aluminum are likely.

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Further agreements on critical minerals, defense procurement, and the Keystone XL pipeline could unlock more US tariff concessions, but would likely wait until phase two.

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A reduction in auto tariffs reportedly proposed by Washington indicates the US envisions a broad phase one deal, with auto tariff terms that could apply to Mexico as well; this would create a preferential trading arrangement short of free trade that nevertheless gives autos assembled in Canada and Mexico privileged access to the US.

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For more, please see US tariff delay points to phase one deal , 19 August 2026.

Michigan, Virginia will be defining races of 2028 Democratic primary. The Democratic Party's reshuffled 2028 primary calendar, anchored by South Carolina at the start and Michigan and Virginia just before Super Tuesday, creates a voting sequence with no clear historical precedent.

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South Carolina will play an important role in winnowing the field, as candidates will need either strong appeal among Black voters or a clear shot at later-primary states to advance past the opening contest.

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Michigan and Virginia are likely to be decisive—a sweep by one candidate would very likely secure the nomination, while a split could set up a final contest between the two leading candidates on Super Tuesday.

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Nevada and New Mexico will be important tests of Hispanic support. Hispanic Democrats like Representative Alexandria Ocasio-Cortez (D-NY) and Senator Ruben Gallego (D-AZ), on opposite sides of the party's ideological divide, will see both states' large Hispanic populations as potential opportunities. But these are likely to be relatively open contests focused on local appeals and turnout drives.

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For more, please see Michigan and Virginia will be defining races of 2028 Democratic primary , 19 August 2026.

This week in polling: Alaska still very plausible pickup opportunity for Democrats. Democrat Mary Peltola had one of her best polls of the electoral cycle this week: A Data for Progress poll showed her up by six points against Senator Dan Sullivan (R-AK) in Alaska. The pollster has a slight historical Democratic bias, but in a race as thinly-polled as this one, this is a positive sign for her campaign.

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The result of Alaska's all-party primary earlier this week, in which Peltola finished on top with 48% of the vote to Sullivan's 43%, has also buoyed Democratic hopes for a Peltola victory, especially given the state's ranked-choice voting system. This is certainly a positive sign, but not a definitive one, as the electorate will change between the primary and the general election.

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Peltola had an outright majority in the 2024 House primary, but went on to lose the general election. The combined Democratic margin in that primary was +3.9, but the general election went to Republicans by 2.5 points. What this does indicate is that Peltola is running far to the left of Alaska's baseline partisanship, as she had in her previous bids.

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Michigan's first round of polling since the Democratic primary earlier this month was, on balance, positive news for Democrats: In the two non-partisan polls, Republican Mike Rogers led by four in one, while Democrat Abdul El-Sayed led by seven in another. There's no indication yet that this race is breaking definitively in one direction; it will remain live through September at least. El-Sayed's odds on Kalshi only modestly improved—from 57% to 59%—in response to the polls.

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The major macro-political indicators are still in very negative territory for Republicans, though they didn't move much this week. Trump's approval rating is 38.4% and Democrats lead by 6.6 points on the generic congressional ballot (across all registered voters) on the Silver Bulletin polling averages.

Quote of the Day

"It feels like an attack on a culture, a way of life, because now I think rural Texas is feeling like 'Okay, now they want us, but don't want our culture — they want our resources.'" - Suzanne Bellsnyder, a former campaign field director for Texas Governor Gregg Abbott who has since become critical of his support for AI companies and data centers. The Texas governor's race has turned into one of the starkest tests of data centers as an electoral issue; with Abbott only holding a slim lead over his Democratic opponent, he has responded to this pressure by introducing a temporary pause on data center projects advancing through the process of being connected to the state's electricity grid and creating a set of "guidelines and guardrails" that will be applied to new projects.

On the Radar

27 July – 28 August: House on recess

10 August – 14 September: Senate on recess

22 August: Section 338 tariffs on Canada go into effect

25 August: South Carolina primary runoff election

1 September: Massachusetts primaries

9-10 September: GOP midterms convention

18-28 September: High-Level Week at UN General Assembly

30 September: Government funding runs out

3 November: National midterm elections

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